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Advancing operational excellence for social good

2 CFR 200

Subaward management

Record retention

Remedies for non-compliance

Closeout

Marking

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Subaward Management

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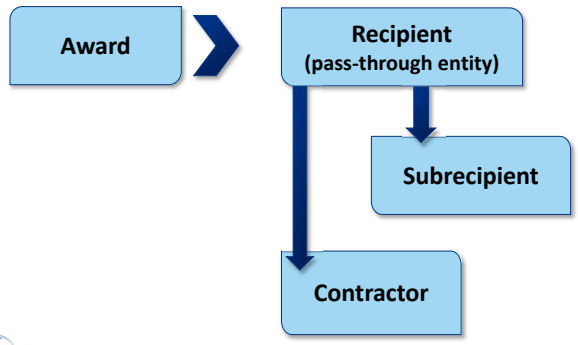
Implementation of Assistance Awards



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Subrecipient and Contractor Determinations

200.331

- Pass-through entities must determine whether the organizations they provide USAID funds to are subrecipients or contractors
- These determinations have an effect on the compliance requirements and the level of monitoring

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Requirements for Pass-Through Entities

200.332 a-c

- Ensure that subawards include required information
- Evaluate the subrecipient's risk of non-compliance with USAID regulations and the terms and conditions of the subaward
- Monitor subrecipient to ensure that activities comply with USAID regulations and the terms of the subaward

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Requirements for Pass-Through Entities

200.332 d-f

Monitoring must include:

- Review of financial and performance reports
- Ensure that subrecipient takes corrective action when needed
- Issue management decisions on audit findings
- Verify that subrecipient conducts the required audits

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Fixed Amount Subawards

200.333

- Pass-through entities can provide fixed amount subawards
- Payments are based on achieving milestones, not reimbursement of costs incurred
- Maximum amount is the Simplified Acquisition Threshold (currently $250,000)
- ADS 303.3.25: maximum duration is 3 years
- **Cannot** be used if there is a cost share requirement

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Types of subawards

Subagreement	Subgrant	Fixed Amount Subaward
Proposal – objectives	Proposal - objectives	Proposal - milestones
Substantial involvement		Substantial involvement if it's not a grant
Full regulatory requirements	Full regulatory requirements	Limited regulatory requirements
Estimated budget	Estimated budget	Fixed budget
Advances provided	Advances provided	Early milestone payment
Financial reports Actual expenses Supporting documents	Financial reports Actual expenses Supporting documents	Invoice for fixed amounts upon completion of milestones
Program reports Objectives achieved	Program reports Objectives achieved	Verification of milestones achieved
Audit	Audit	
Document retention	Document retention	Limited document retention

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Key Points – Subrecipient Management

- Pass-through entities are responsible for making the subrecipient/contractor determination
- Pass-through entities must include required information in subawards
- Pass-through entities must evaluate the subrecipient's risk of non-compliance and monitor subrecipient's activities
- Fixed amount subawards are an option for issuing subawards

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Question 7 Subrecipient monitoring

Your organization issued 40 subawards to local organizations to conduct civic education in their cities. You conducted site visits to 10 of the subrecipients.

Your Cooperative Agreement ends next month and the Agreement Officer Representative (AOR) says your organization is not in compliance with federal requirements because it did not conduct site visits to all 40 subrecipients to monitor their activities. She will only accept the expenses and reports from the 10 you visited.

Is the AOR correct? Why or why not?

Reference: 2 CFR 200.332(d)-(e)

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Answer Subrecipient monitoring

The AOR is not correct. The regulations don't require that site visits be conducted for all subawards.

Conducting on-site reviews is a monitoring activity that recipients can consider implementing, but it is not one of the required monitoring activities. Recipients must conduct the required monitoring activities and must determine how to best monitor subrecipients through any additional monitoring activities that address issues identified in the risk evaluation.

Reference: 2 CFR 200.332(d)-(e)

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Record Retention

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Retention and Access Requirements for Records

200.334 – 200.338

- Records must be retained for 3 years (be mindful of local law requirements)
- USAID, US federal authorities have the right to request extension of the record retention period
- Electronic documents can be used
- USAID, US federal authorities have the right to audit records **as long as you retain them**

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Key Points – Record Retention

- Essential for organizations to have a document retention ***AND*** destruction policy
- Local law takes precedence over USAID's or your organization's requirements if the law requires retention for longer periods
- Clarify with USAID questions/ misunderstandings or missing information on due dates of reports
- USG allows electronic storage of records

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Remedies for Noncompliance

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Remedies for Non-Compliance

200.339

USAID may:

- Withhold payments
- Disallow costs
- Suspend or terminate the award in part or in whole
- Initiate suspension or debarment
- Withhold further federal awards

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Termination

200.
340 – 343

700.14

- Provisions for termination:
  - By USAID for recipient's non-compliance
  - By USAID if the award no longer supports program goals or USAID priorities*
  - By USAID with consent of recipient
  - By the recipient
  - By USAID according to award terms and conditions*
  - By USAID in the national interests of the US (700.14)
- USAID must notify the recipient about termination

*Applicable to awards issued after August 13, 2020

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Closeout Procedures

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Closeout Procedures

200.344

- Recipient reports due 120 days after award end date*
- Subrecipient reports due 90 days after subaward end date
- All obligations liquidated 120 days after award end date*
- USAID must make prompt payments for remaining allowable costs
- Recipient must refund any balances to USAID

* 90 days for awards issued before November 12, 2020

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Adjustments of Amounts Due

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Adjustments, Amounts Due

200.345-.346

- Closeout does not affect:
  - USAID's right to disallow costs
  - Recipient's responsibility to return funds owed to USAID
  - USAID's ability to make financial adjustments
  - Fulfilment of audit requirements
  - Property management and requirements
- USAID can take action to retrieve funds owed

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USAID Specific Requirements - Marking

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Marking – Basics

700.16

- USAID identity: official USAID logo and brand mark
  - Can be amended by USAID to include additional or substitute logos (e.g. those required by presidential initiatives, etc. – PEPFAR)
- All assistance programs must comply with the marking regulations
  - ✓Must develop an approved strategy and plan
  - ✓Must comply with the approved strategy and plan
- Requirement applies to subawards

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USAID Logo

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Marking – Presumptive Exceptions

700.16

- Exceptions from marking allowed when it will:
  - ✓Compromise independence of reports
  - ✓Diminish credibility of reports
  - ✓Undercut host-country government "ownership"
  - ✓Impair functionality
  - ✓Incur substantial costs or will be impractical
  - ✓Offend local culture
  - ✓Conflict with international law
- Prior approval required from AO for exceptions

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Waivers to marking requirements

700.16

Waivers to marking are allowed when marking would:

- Pose compelling political, safety, security concerns
- Have an adverse impact on the program

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Examples of USAID logo use

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Examples of Incorrect Use of Logo

Incorrect Identity example: Logo on right side of brandmark

Incorrect Identity example: Logo on left side, top of brandmark, incorrect colors

More information and standards for use of USAID logo and brand available in ***USAID Graphic Standards Manual***

Incorrect Identity example: Logo on right side, top of brandmark

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For more information on branding and marking

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Key Points – Marking

700.16

- Exceptions to marking, even though logical and allowed, must still be approved
- If the local government restricts ability to implement marking, comply but be sure to officially inform USAID and if required get prior approval
- Marking is a mandatory requirement, not an option

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Tomorrow:
Self-led Cost Principles module

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